

could have finance “quants,” academics, and students use and write papers and papers using the notion of “standard deviation,” yet not understand intuitively what it meant, so you could trip them up by asking them elementary questions about the nonmathematical, real conceptual meaning of their numbers. And trip them up we did. Dan Goldstein and I ran experiments on professionals using probabilistic tools, and were shocked to see that up to 97 percent of them failed elementary questions.* Emre Soyer and Robin Hogarth subsequently took the point and tested it in the use of an abhorrent field called econometrics (a field that, if any scientific scrutiny was applied to it, would not exist)—again, most researchers don’t understand the tools they are using.

Now that the book’s reception is off my chest, let us move into more analytical territory.

* In Latin: “pearls before swine.”

* Most intellectuals keep attributing the black swan expression to Popper or Mill, sometimes Hume, in spite of the quote by Juvenal. The Latin expression *niger cygnus* might even be more ancient, possibly of Etruscan origin.

† One frequent confusion: people believe that I am suggesting that agents should bet on Black Swans taking place, when I am saying that they should avoid blowing up should a Black Swan take place. As we will see in section IV, I am advocating omission, not commission. The difference is enormous, and I have been completely swamped by people wondering if one can “bleed to death” making bets on the occurrence of Black Swans (like Nero, Giovanni Drogo, or the poor scientist with a rich brother-in-law). These people have made their choice for existential reasons, not necessarily economic ones, although the economics of such a strategy makes sense for a collective.

* If most of the people mixed up about the message appear to be involved in economics and social science, while a much smaller share of readers come from those segments, it is because other members of society without such baggage get the book’s message almost immediately.

* For instance, one anecdote that helps explain the crisis of 2008. One Matthew Barrett, former Chairman of Barclays Bank and Bank of Montreal (both of which underwent blowups from exposures to Extremistan using risk management methods for Mediocristan) complained, after all the events of 2008 and 2009, that *The Black Swan* did not tell him “what should I do about that?” and he “can’t run a business” worrying about Black Swan risks. The person has never heard of the notion of fragility and robustness to extreme deviations—which illustrates my idea that evolution does not work by teaching, but destroying.

* So far, about fourteen scholarly (but very, very boring) articles. (They are boring both to read and to write!) The number keeps growing, though, and they are being published at a pace of three a year. Taleb (2007), Taleb and Pilpel (2007), Goldstein and Taleb (2007), Taleb (2008), Taleb (2009), Taleb, Goldstein and Spitznagel (2009), Taleb and Pilpel (2009), Mandelbrot and Taleb (2010), Makridakis and Taleb (2010), Taleb (2010), Taleb and Tapiero (2010a), Taleb and Tapiero (2010b), Taleb and Douady (2010), and Goldstein and Taleb (2010).

* Although his is a bit extreme, this phoniness is not uncommon at all. Many intellectually honest people I had warned, and who had read my book, later blamed me for not telling them about the crisis—they just could not remember it. It is hard for a newly enlightened pig to recall that he has seen a pearl in the past but did not know what it was.

* Dan Goldstein and I have been collaborating and running experiments about human intuitions with respect to different classes of randomness. He does not walk slowly.